CHAPTER 1

Customer care in context

Unit A · Learning outcome LO1 · Model: the Service-Profit Chain

Good service is not a cost. It is how a business earns profit. This chapter shows you why, and gives you a tool to find where service breaks down.

By the end of this chapter you can:

- explain what customer care means and who the customer is
- analyse how good service leads to profit, using the Service-Profit Chain
- describe what customers expect across today's channels, including AI

Key terms

Term	Meaning
Customer care	Looking after customers before, during and after a sale
Customer experience	How the customer feels about every contact with the business
External customer	A person or business that buys from you
Internal customer	A colleague or team that depends on your work
Touchpoint	Any point where a customer meets the business
Customer retention	Keeping customers so they come back again
ROI	Return on investment: what you gain compared with what you spend
Omnichannel	All channels connected, so the customer gets one smooth experience

Core idea: care before, during and after the sale

Customer care is not only the moment a customer pays. It starts **before** the sale (the website, the advert, the first phone call). It continues **during** the sale (the welcome, the advice, the payment). It goes on **after** the sale (delivery, returns, follow-up, complaints).

You serve two kinds of customer. **External customers** buy from you. **Internal customers** are colleagues who depend on your work, for example the finance team that needs your sales report every Friday. If you fail your internal customers, they cannot serve the external ones well.

Why does a manager care? Because it is far cheaper to keep a customer than to win a new one. A happy customer comes back, spends more and recommends you. An unhappy customer leaves, and today one bad review can reach thousands of people in a day.

The Level 5 model: the Service-Profit Chain

Researchers at Harvard (Heskett, Jones, Loveman, Sasser and Schlesinger, 1994) studied successful service companies. They found a chain of links. Each link causes the next:

1	2	3	4	5	6
Support for staff	Satisfied, loyal staff	Better service value	Satisfied customers	Loyal customers	Profit and growth

1. **Good support for staff:** training, tools, fair pay, a good workplace.
2. **Satisfied, loyal staff:** they stay and they care.
3. **Better service value:** customers get fast, friendly, reliable help.
4. **Satisfied customers.**
5. **Loyal customers:** they return, spend more and recommend you.
6. **Profit and growth.**

The lesson for managers: **invest in your people first.** Profit is the last link, not the first.

Use it in three steps

1. Start at the end: what result does the business want?
2. Go back through each link and find the weakest one, with evidence.
3. Recommend fixing the weakest link first, and justify why.

SENTENCE FRAME

The weakest link is ___ because ___. I recommend ___.

Measuring it: return on investment

Managers must show that spending on service pays back. Use this formula:

ROI = (Gain − Cost) ÷ Cost × 100%

Worked example. Imagine a **Starbucks** branch spends $2,000 on staff training. Over three months, repeat customers bring $3,000 extra profit. ROI = (3,000 − 2,000) ÷ 2,000 = 0.5, which is **50%**. Every dollar spent came back with 50 cents extra.

Deeper theory

What is a service?

A **product** is something you can touch and keep, such as a phone. A **service** is an activity that someone does for you, such as repairing the phone. Most businesses sell a mix of both. A restaurant sells food (a product) and a dining experience (a service).

Researchers describe four features that make services different from products. They are often remembered as **IHIP** (Zeithaml, Parasuraman and Berry, 1985):

Feature	Meaning	Example	What it means for managers
Intangible	You cannot touch or test a service before you buy it	A hotel stay	Customers judge by clues: reviews, staff, cleanliness
Heterogeneous (variable)	Every service is a little different	Two waiters give different service	Train staff and set clear standards
Inseparable	The service is made and used at the same time	A haircut	The customer is present, so staff behaviour matters
Perishable	A service cannot be stored	An empty seat on a flight	Manage demand and capacity carefully

Because of these four features, **people** are central to service quality. This is why the Service-Profit Chain starts with staff.

Customer service, customer care and customer experience

These three terms are often mixed up:

- **Customer service** is the help a business gives customers, for example answering questions or solving problems.
- **Customer care** is wider. It is how a business looks after customers in every contact, before, during and after the sale.
- **Customer experience (CX)** is the customer's **overall feeling** about the business, built from every touchpoint: adverts, website, staff, product, delivery and after-sales (Meyer and Schwager, 2007).

A Level 5 manager thinks about customer experience as a whole, not only about one service desk.

The service economy

In most modern economies, services create more jobs and more value than farming or manufacturing. Banking, tourism, healthcare, retail, telecoms and transport are all service industries. In the Gulf, airlines, airports, hotels, retail and events are major employers. Strong service skills are therefore valuable for careers and for national development.

Who is the customer?

Businesses often divide customers into groups, called **segments**, so they can serve each group better.

Way to segment	Example groups	Example of different service
By value	Occasional, regular, VIP	VIP customers get a personal manager
By need	Business travellers, families, students	Families need space; business travellers need speed

Way to segment	Example groups	Example of different service
By channel	Online, in-store, phone	Online customers expect fast chat replies
By life stage	New customers, long-term customers	New customers need more guidance

Remember the other types of customer from this chapter: **internal customers** (colleagues) and **external customers** (buyers). Some writers also include **stakeholders** such as owners, suppliers and the community, because they are affected by service too.

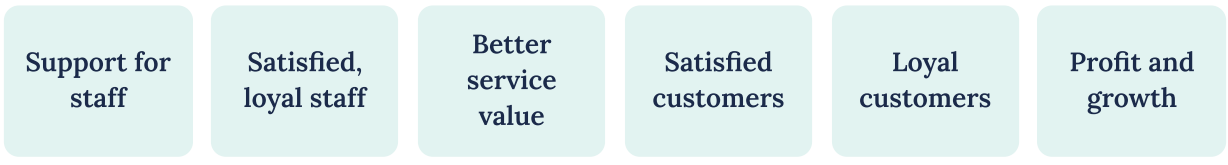
Why service is a strategic choice

Michael Porter (1985) argued that a business can compete in two main ways: by being **cheaper** than others, or by being **different and better**. Excellent service is one of the strongest ways to be different, because it is hard for competitors to copy. A competitor can copy a product in months, but it takes years to copy a strong service culture.

Evidence for the Service-Profit Chain

Heskett and colleagues (1994) built the Service-Profit Chain from studies of successful service companies. Later research, such as the Sears study (Rucci, Kirn and Quinn, 1998), measured the links with real data. Other researchers have found that the links are real but not automatic. Price, location and competition also affect profit. Managers should use the chain as a guide, and check it with their own data.

Figure 1.1 The Service-Profit Chain (adapted from Heskett et al., 1994)



Further reading

- Heskett, J. L., Sasser, W. E. and Schlesinger, L. A. (1997). *The Service Profit Chain*. New York: Free Press.
- Meyer, C. and Schwager, A. (2007). "Understanding Customer Experience". *Harvard Business Review*, February.
- Zeithaml, V. A., Bitner, M. J. and Gremler, D. D. *Services Marketing*. New York: McGraw-Hill (latest edition).

Tech layer: what customers expect today

Today's customers expect service that is **24/7, instant and mobile**. They move between WhatsApp, the website, a phone call and a visit to the shop, often for the same problem.

- **Multichannel** means the business has many channels, but they are not connected. The customer repeats their story every time.
- **Omnichannel** means the channels are connected. The phone agent can see the WhatsApp message from this morning. The customer explains once.
- **AI** can answer routine questions any time, such as opening hours or order status. People are still needed for upset customers, complex problems and decisions about money or policy.

Case study: McDonald's self-order kiosks

Imagined scenario: the situation and numbers are invented for practice. They do not describe the real company.

Imagine a busy **McDonald's** branch in Doha introduces new self-order kiosks and a mobile ordering app. Sales rise in week one. By week three, online reviews mention wrong orders and slow tables. The manager learns that staff were never trained on the app. They write orders on paper and type them in later. Two experienced waiters have resigned.

Analyse it with the Service-Profit Chain. The weakest link is link 1, support for staff. The lack of training leads to stressed staff (link 2), poor service (link 3), unhappy customers (link 4) and lost repeat visits (links 5 and 6). Apologising to customers or giving discounts only treats the symptom. The manager should train the staff first.

BRAND SPOTLIGHT

Southwest Airlines: "Employees first"

What happened. Herb Kelleher started Southwest Airlines in the United States. He had a simple rule: **employees first, customers second, shareholders third.** People were surprised. Most bosses put customers or owners first.

Kelleher explained his rule like a chain. Happy staff give good service. Customers enjoy the service and come back. When customers come back, the owners make money.

Why it matters. Southwest chose staff for their attitude and then trained their skills. Managers praised staff who helped passengers in kind, creative ways. The airline became famous for friendly service.

The lesson for managers. This is the Service-Profit Chain in simple words. Look after your staff (links 1 and 2), and the other links follow.

Word help: *shareholders* = the people who own part of a company.

BRAND SPOTLIGHT

Sears: proving the chain with numbers

What happened. In the 1990s the big American shop Sears was losing money. Its leaders asked: does the chain really work? They asked staff how they felt about their jobs. They asked customers how they felt about the stores. Then they compared the answers with each store's sales.

Why it matters. The answers showed a clear pattern. When staff felt better about their work, customers felt better about the store. A few months later, sales grew. Sears published this in the *Harvard Business Review* in 1998.

The lesson for managers. Do not only say "happy staff make happy customers". **Show it with data.** Then you can find the weakest link and fix it.

Word help: *data* = facts and numbers that you collect.

BRAND SPOTLIGHT

Disney: one experience in every channel

What happened. At Disney parks, visitors are called **guests**. Staff are called **cast members**, like actors on a stage. Disney also uses an app and a wristband. They hold the guest's ticket, ride bookings, hotel room key, photos and payments.

Why it matters. A family can plan at home on the app. In the park, the wristband opens the gate and the hotel room. Nobody asks them the same question twice.

The lesson for managers. This is **omnichannel** service: all channels are connected. You do not need Disney's money to do this. You only need one simple rule: **the customer explains once.**

BRAND SPOTLIGHT

Apple: care that continues after the sale

What happened. In 2017 Apple launched **Today at Apple**: free sessions in its stores where anyone can learn photography, music, coding or how to use their device better. By 2019 Apple said it was running more than **18,000 free sessions a week** around the world. Customers can also book help at the Genius Bar in Apple stores.

Why it matters. Most of these sessions happen **after** the customer has bought the product. Apple keeps looking after customers long after they pay.

The lesson for managers. Customer care is **before, during and after** the sale. Ask: what do we do for customers after they buy? Helping them use the product well makes them come back.

QATAR SPOTLIGHT

The Hayya card at the FIFA World Cup Qatar 2022

What happened. For the World Cup in 2022, Qatar gave every fan one digital ID: the **Hayya card**, kept in the Hayya mobile app. Visitors used it to enter Qatar instead of a visa, to enter the stadiums with their match ticket, and to ride public transport, including the Doha Metro and buses, for free.

Why it matters. One card connected many services from different organisations. Fans did not have to show different papers to immigration, stadium staff and transport staff.

The lesson for managers. This is **omnichannel** service on a national scale: one identity, one smooth journey. Ask yourself: how many times does your customer have to repeat the same information?

Is this model perfect?

Level 5 managers do not only use a model. They also ask how far they can trust it.

Strengths of the Service-Profit Chain	Limits of the Service-Profit Chain
Easy to explain to any team	The links take time; results may appear months later
Shows why investing in staff makes business sense	Other things also affect profit, such as price, location and competitors
Helps managers find the weakest link	Hard to measure some links, such as "service value"
Supported by research in real companies	Happy staff do not automatically mean happy customers if processes are broken

How to use this in an answer: "The Service-Profit Chain suggests ___. However, one limit is ___, so I would also check ___."

Useful language

Welcoming a customer

- "Good morning. Welcome to ___. How can I help you today?"
- "Thank you for waiting. I'm ___, and I'll look after you."

Showing you care

- "I can see why that matters to you."
- "Let me make sure I understand. You need ___ by ___. Is that right?"

Talking to your team as a manager

- "Our customer scores dropped this month. Let's look at why together."
- "What do you need from me to serve customers better?"

Practice case: a Samsung store

Imagined scenario: the situation and numbers are invented for practice. They do not describe the real company.

Imagine you manage a large **Samsung** store in Doha. Last year the owner of the store cut staff training to save $60,000. This year:

- Staff turnover rose from 15% to 35%. New staff often cannot answer questions about phones and TVs.
- Customers wait longer at the counter. Online reviews of the store fell from 4.4 to 3.8 stars.
- Repeat customers fell from 52% to 41%.
- Sales are still slightly up, because of a big new phone launch.

The owner says, "Sales are up, so the training cut was a good decision."

Guided questions

1. **Analyse:** Draw the Service-Profit Chain for the store. Write one fact from the case under each link.
2. **Analyse:** Which link is weakest? Give two pieces of evidence.

3. **Evaluate:** Is the owner right? Use the chain to explain why sales may fall next year.
4. **Calculate:** Training costs $60,000. You believe it will bring $90,000 extra profit from repeat customers. What is the ROI?
5. **Recommend:** Write two recommendations with the sentence frame. Name one risk for each.

Hint: look at what happened to staff first, then follow the chain to customers and sales.

Think local

Choose a brand you know well, for example **Qatar Airways**, **Ooredoo** or **Lulu Hypermarket**.

1. What do you see that shows how the brand treats its **staff**? (uniforms, training, how staff talk to you)
2. Can you contact this brand on several channels (app, WhatsApp, phone, store)? Are they **connected**, or do you repeat your story?
3. Which link of the Service-Profit Chain looks strongest for this brand? Which looks weakest?

Teachers: replace these brands with any brands your students know well.

Common mistakes managers make

- **Cutting staff support to save money.** You save money this month. But links 1 and 2 of the chain become weak, and customers feel it later.
- **Forgetting internal customers.** Poor service between teams always reaches the customer in the end.
- **Looking only at sales.** Sales are the last link. When sales fall, the problem started months before.
- **Adding channels that are not connected.** A new WhatsApp line that cannot see the customer's old calls makes customers angry, not happy.

Apply it: draw a Service-Profit Chain

Work in pairs. Choose a business you both know, for example a supermarket, a clinic or a phone shop.

1. Draw six boxes in a row. Write one link of the chain in each box.
2. Under each box, write one thing you have seen. Is this link strong or weak?
3. Circle the weakest link.
4. Write one recommendation with the sentence frame. Add one risk.
5. Show your chain to another pair. You have two minutes.

Chapter summary

- Customer care happens **before, during and after** the sale.
- You have **external customers** (buyers) and **internal customers** (colleagues).
- The **Service-Profit Chain**: support for staff → happy staff → good service → happy customers → loyal customers → profit.
- Managers fix the **weakest link** first, with evidence.
- **ROI** shows if money spent on service comes back.
- Customers want service that is **24/7, fast and mobile**. AI answers simple questions. People handle difficult ones.

Review quiz

1. Which link comes **first** in the Service-Profit Chain?
   a. Profit and growth
   b. Happy customers
   c. Support for staff
   d. Advertising
2. A colleague in finance needs your report every week. They are your...
   a. external customer
   b. internal customer
   c. supplier
   d. competitor
3. A course costs $4,000. It brings $6,000 extra profit. The ROI is...
   a. 33%
   b. 50%
   c. 150%
   d. 200%
4. In omnichannel service...
   a. each channel keeps its own separate records
   b. the customer repeats the story on each channel
   c. all channels are connected and share the customer's history
   d. the business uses only one channel
5. Southwest Airlines put people in this order:
   a. shareholders, customers, employees
   b. customers, shareholders, employees
   c. employees, customers, shareholders
   d. customers, employees, shareholders

Check your understanding

1. Give one example each of care before, during and after a sale in your workplace.
2. Who are your internal customers? What do they need from you?
3. Explain the Service-Profit Chain to a partner in one minute, starting from staff.
4. A training course costs $5,000 and brings $8,000 extra profit. Calculate the ROI.
5. What is the difference between multichannel and omnichannel service?
6. *Level 5 question:* In the restaurant case, the owner wants to cut costs by reducing staff hours. Use the chain to evaluate this idea.

Capstone step 1

Choose a real organisation: your workplace or one you know well. **Analyse how service affects profit there.** Draw its Service-Profit Chain, mark the weakest link and give one piece of evidence for it.